Name: _____
Principles of Microeconomics
Reading Check: Ch. 4 Intro - 4.2.

1. A competitive market is a market in which

   (a) an auctioneer helps set prices and arrange sales.
   (b) there are only a few sellers.
   (c) the forces of supply and demand do not apply.
   (d) no individual buyer or seller has any significant impact on the market price.

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1. Which of the following changes would *not* shift the demand curve for a good or service?

   (a) A change in income.
   (b) A change in the price of the good or service.
   (c) A change in expectations about the future price of the good or service.
   (d) A change in the price of a related good or service.

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1. If the demand for a good falls when income falls, then the good is called

   (a) a normal good.
   (b) a regular good.
   (c) an ordinary good.
   (d) an inferior good.

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1. Which of the following demonstrates the law of demand?

   (a) After Wyatt got a raise at work, he bought more pretzels at $1.50 per bag than he did before his raise.
   (b) Sanjay buys fewer pastries at $0.75 per pastry than at $1 per pastry, other things equal.
   (c) Ellie buys more apple fritters at $0.25 per apple fritter than at $0.50 per apple fritter, other things equal.
   (d) Trinity buys fewer candy bars at $0.60 after the price of Skittles falls to $0.50 per bag.

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Principles of Microeconomics
Reading Check: Ch. 4.3. - 4.4.

1. Which of the following events would cause a movement upward and to the right along the supply curve for kiwis?

   (a) The number of sellers of kiwis increases.
   (b) There is an advance in technology that reduces the cost of producing kiwis.
   (c) The price of water decreases, and water is an input in the production of kiwis.
   (d) The price of kiwis rises.

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Principles of Microeconomics
Reading Check: Ch. 4.3. - 4.4.

1. If the supply of a product increases, then we would expect equilibrium price

   (a) to increase and equilibrium quantity to decrease.
   (b) to decrease and equilibrium quantity to increase.
   (c) and equilibrium quantity to both increase.
   (d) and equilibrium quantity to both decrease.

Name: _____
Principles of Microeconomics
Reading Check: Ch. 4.3. - 4.4.

1. The market supply curve

   (a) shows how supply changes when expectations change.
   (b) slopes downward.
   (c) represents the sum of the prices that all the sellers are willing to accept for a given quantity of the good.
   (d) represents the sum of the quantities supplied by all the sellers at each price of the good.

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1. If the demand for a product increases, then we would expect equilibrium price

   (a) to increase and equilibrium quantity to decrease.
   (b) to decrease and equilibrium quantity to increase.
   (c) and equilibrium quantity both to increase.
   (d) and equilibrium quantity both to decrease.